

# ADVANTAGE Daily Drilling Fluids Report - 37



INTEQ

|                                         |  |                                         |  |                                    |  |                                         |  |
|-----------------------------------------|--|-----------------------------------------|--|------------------------------------|--|-----------------------------------------|--|
| Rpt Date 13/Aug/2006                    |  | Well Name/No Bilabri D 2                |  | Section Name/No 17-1/2" Section #3 |  | Mud System AQUA-DRILL                   |  |
| Job# 1                                  |  | Spud Date 05/Jul/2006                   |  | MD 1639.00 m                       |  | Progress 0.00 m                         |  |
| Operator Peak Petroleum Indust. Limited |  | Company Rep James Blackmon/Chris Newton |  | Contractor Dolphin Drilling Ltd    |  | Contractor Rep Paul Sheppard/Nolan Troy |  |
| Field/Lease Bilabri                     |  | Blk/Co/Parish OML - 122 / Nigeria       |  | Area Offshore                      |  | Country/State Nigeria                   |  |
|                                         |  |                                         |  |                                    |  | Rig BULFORD DOLPHIN                     |  |

| Drilling Assembly |       |          |            |       |          | Casing |         | Volumes    | Pump Information          |                           |           |       |              |              |                     |
|-------------------|-------|----------|------------|-------|----------|--------|---------|------------|---------------------------|---------------------------|-----------|-------|--------------|--------------|---------------------|
| Bit Gauge in      | Mfr   |          | Bit Model  |       | OD in    | ID in  | Depth m | bbl        | Model                     | Liner in                  | Stroke in | Eff % | Vol/Stk bbl  | Stk Rate SPM | Circ Rate USgal/min |
| 12 1/4            | HCC   |          | PDC        |       |          | 19 1/2 | 178.00  | Total Hole | Continental Ensco FA-1600 | 6 1/2                     | 12.00     | 94.0  | 0.1157       | 0            |                     |
| Drill Collars     |       |          | Drill Pipe |       |          | 30     | 28      | 269.00     | 0                         | Continental Ensco FA-1600 | 6 1/2     | 12.00 | 94.0         | 0.1157       | 0                   |
| OD in             | ID in | Length m | OD in      | ID in | Length m | 20     | 19.124  | 459.00     | Active Pits               | Continental Ensco FA-1600 | 6 1/2     | 12.00 | 94.0         | 0.1157       | 0                   |
|                   |       |          | 5          | 4.276 | 1336.44  | 13 3/8 | 12.415  | 1622.00    | 0                         |                           |           |       |              |              |                     |
|                   |       |          | 5          | 3     | 36.53    |        | 12 1/4  | 1639.00    | Tot Active                |                           |           |       |              |              |                     |
|                   |       |          | 5          | 3     | 176.34   |        |         |            | 0                         | Circulation Times         |           |       |              |              |                     |
|                   |       |          | 8 1/2      | 3     | 9.34     |        |         |            | In Storage                | Surface to Bit            | min/stks  |       | Total System | min/stks     |                     |
|                   |       |          |            |       |          |        |         |            | 0                         | Bottoms Up                | min/stks  |       |              |              |                     |

| Mud Properties                                                                                                                                                                   |            |       |   | Max Ann Velocity |                  | Hole Information |                       |                |                    |           |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|-------|---|------------------|------------------|------------------|-----------------------|----------------|--------------------|-----------|
| Property                                                                                                                                                                         | Fluid Spec | 1     | 2 | 3                | AV Riser         | ft/min           | Standpipe Pressure    | 0 psi          | Water Depth        | 152.00 m  |
| Check Time                                                                                                                                                                       |            | 00:00 |   |                  | AV Casing        | ft/min           | Hole Flow             | USgal/min      | Riser Booster Rate | USgal/min |
|                                                                                                                                                                                  |            |       |   |                  | AV Open Hole     | ft/min           | Solids Analysis       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Vc Open Hole     | ft/min           | Property              | 1              | 2                  | 3         |
|                                                                                                                                                                                  |            |       |   |                  | Vc Drill Pipe    | ft/min           |                       |                |                    | 4         |
|                                                                                                                                                                                  |            |       |   |                  | Min Ann Velocity |                  |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | AV Riser         | ft/min           |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | AV Casing        | ft/min           |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | AV Open Hole     | ft/min           |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Bit Information  |                  |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Size             | 12 1/4 in        |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Hours On Bit     |                  |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Bit Number       |                  |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | BHA Number       | 4                | Rheology              |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Depth In         | 1636.00 m        | 600 RPM               |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Bit RPM          |                  | 300 RPM               |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | WOB              | klbf             | 200 RPM               |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Nozzles          | 7x16             | 100 RPM               |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Bit Hydraulics   |                  | 6 RPM                 |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | TFA              | 1.3744 in^2      | 3 RPM                 |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Nozzle Vel       | ft/sec           |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | Bit Press Loss   | psi              |                       |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | HHP / Area       | HP/in^2          | Hydraulic Analysis    |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  | HHP              | %                | Behavior Index (n)    |                |                    |           |
|                                                                                                                                                                                  |            |       |   |                  |                  |                  | Consistency Index (k) | #sec^n/100ft^2 |                    |           |
|                                                                                                                                                                                  |            |       |   |                  |                  |                  | ECD @ Bit Depth       | ppg            |                    |           |
|                                                                                                                                                                                  |            |       |   |                  |                  |                  | ECD @ Casing Shoe     | ppg            |                    |           |
| Fluid Comments/ Recommendations                                                                                                                                                  |            |       |   |                  |                  |                  |                       |                |                    |           |
| Conditioning the surface volume of 530 bbls SBM mud received from the Crusader. Will charge off chemicals used in tomorrows report for SBM volume & Chemical accounting reasons. |            |       |   |                  |                  |                  |                       |                |                    |           |
| Drilling Comments                                                                                                                                                                |            |       |   |                  |                  |                  |                       |                |                    |           |
| W/O SBM & Drill pipes from town. Flush C/K manifold, mud pumps & std pipes. Condition SBM. General rig maintenance.                                                              |            |       |   |                  |                  |                  |                       |                |                    |           |

|                              |                  |           |                 |               |            |                 |                 |        |
|------------------------------|------------------|-----------|-----------------|---------------|------------|-----------------|-----------------|--------|
| BHDF Fluids Rep              | BHDF Rep Phone   | Warehouse | Warehouse Phone | Coordinator   | Daily Cost | Cumulative Cost | Inventory Value | Page 1 |
| Waboso Peter/ Kunle Olayinka | 234-803-402-0440 | Onne      | 234-84-462609   | Lawson Ogaree | 900.00 USD | 589222.25 USD   | 258516.62 USD   |        |

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

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| Job# 1                                  | Spud Date 05/Jul/2006 |                                         | MD 1639.00 m |                                    | Progress 0.00 m |                                         | Present Activity Wait |
| Operator Peak Petroleum Indust. Limited |                       | Company Rep James Blackmon/Chris Newton |              | Contractor Dolphin Drilling Ltd    |                 | Contractor Rep Paul Sheppard/Nolan Troy |                       |
| Field/Lease Bilabri                     |                       | Blk/Co/Parish OML - 122 / Nigeria       |              | Area Offshore                      |                 | Country/State Nigeria                   |                       |
|                                         |                       |                                         |              |                                    |                 | Rig BULFORD DOLPHIN                     |                       |

| Solids Control Equipment |   |                       |                |              |                        |                        |          |
|--------------------------|---|-----------------------|----------------|--------------|------------------------|------------------------|----------|
| Name                     | # | Mfr                   | Hours<br>hours | Screen Sizes | Act Volume Lost<br>bbl | Res Volume Lost<br>bbl | Comments |
| CENTRIFUGE               | 1 | SWACO                 | 0.0            |              | 0.0                    | 0.0                    |          |
| CENTRIFUGE               | 2 | SWACO                 | 0.0            |              | 0.0                    | 0.0                    |          |
| DESANDER                 | 1 | SWACO                 | 0.0            |              | 0.0                    | 0.0                    |          |
| DESILTER                 | 1 | SWACO                 | 0.0            |              | 0.0                    | 0.0                    |          |
| MUD CLEANER              | 1 | SWACO                 | 0.0            | 2 x 210      | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 1 | Brandt                | 0.0            |              | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 1 | Derrick Equipments Co | 0.0            | 3 x 110      | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 2 | Brandt                | 0.0            |              | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 2 | Derrick Equipments Co | 0.0            | 3 x 110      | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 3 | Derrick Equipments Co | 0.0            | 3 x 110      | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 3 | Brandt                | 0.0            |              | 0.0                    | 0.0                    |          |
| Total Volume Lost        |   |                       |                |              | 0                      | 0                      |          |

| Volumes       |                  |              |                      |                   |         |                     |  |
|---------------|------------------|--------------|----------------------|-------------------|---------|---------------------|--|
| Additions bbl |                  | Losses bbl   |                      | Total Volumes bbl |         |                     |  |
| Mud Added     | Weight Materials | Downhole     | Left In Pit          | Starting Volume   |         | Riser w/o Pipe      |  |
| Brine         | Water            | Cased Off    | Trip Losses          | Daily Additions   | 1179.5  | Casing w/o Pipe     |  |
| Base Fluid    | Product          | Left In Hole | Injected             | Daily Losses      | 1180    | Open Hole w/o Pipe  |  |
| Recycled      | Other            | Discharged   | Spill To Environment | Ending Volume     | -0.5    | String Displacement |  |
|               |                  | SCE          | Onshore Disposal     | Net Change        | -1180.0 | String Capacity     |  |
|               |                  | Evaporation  | Returned             |                   |         | Total Hole w/ Pipe  |  |
|               |                  | Other Losses | 1180                 |                   |         | Total Active        |  |
|               |                  |              |                      |                   |         | Total Reserve       |  |

| IADC Hours    |    |  |  |  |  |  |  |
|---------------|----|--|--|--|--|--|--|
| Miscellaneous |    |  |  |  |  |  |  |
|               | 24 |  |  |  |  |  |  |

| Primary Currency USD   |           | Secondary Currency     |      | Totals USD            |               |
|------------------------|-----------|------------------------|------|-----------------------|---------------|
| Daily Product Cost     | 0.00      | Daily Product Cost     | 0.00 | Primary Product       | 550972.25     |
| Daily Tax              | 0.00      | Daily Tax              | 0.00 | Secondary Product     | 0.00          |
| Debit/Credit           | 0.00      | Debit/Credit           | 0.00 | Primary Engineering   | 38250.00      |
| Daily Engineering Cost | 900.00    | Daily Engineering Cost |      | Secondary Engineering | 0.00          |
| Total Daily Cost       | 900.00    | Total Daily Cost       | 0.00 | Primary Total         | 589222.25     |
| Total Inventory Value  | 258516.62 | Total Inventory Value  | 0.00 | Secondary Total       | 0.00          |
|                        |           |                        |      | Deck Load             | 326.63 UK ton |

| Products and Services    |          |       |                |          |          |      |           |       |                                           |                                            |
|--------------------------|----------|-------|----------------|----------|----------|------|-----------|-------|-------------------------------------------|--------------------------------------------|
| Product                  | Units    | Start | Transferred In | Received | Returned | Lost | Daily Use | Final | Active Ending<br>Concentrations<br>lb/bbl | Reserve Ending<br>Concentrations<br>lb/bbl |
| Bulk                     |          |       |                |          |          |      |           |       |                                           |                                            |
| BARITE - Imported        | 1000 kg  | 258   |                |          |          |      |           | 258   | 1.25                                      | 0.16                                       |
| Oil Based Product        |          |       |                |          |          |      |           |       |                                           |                                            |
| CARBO-GEL                | 25 kg    | 120   |                |          |          |      |           | 120   |                                           |                                            |
| MIL-LIME                 | 25 kg    | 320   |                |          |          |      |           | 320   |                                           |                                            |
| OMNI-COTE                | 55 USgal | 8     |                |          |          |      |           | 8     |                                           |                                            |
| Water Based Product      |          |       |                |          |          |      |           |       |                                           |                                            |
| CALCIUM CHLORIDE (97%)   | 50 lb    | 322   |                |          |          |      |           | 322   |                                           |                                            |
| CAUSTIC SODA             | 25 kg    | 17    |                |          |          |      |           | 17    | 0.39                                      | 0.07                                       |
| POTASSIUM CHLORIDE BRINE | 1 bbl    | 189   |                |          |          |      |           | 189   | 77.66                                     | 100.25                                     |
| XANTHANGUM D             | 25 kg    | 40    |                |          |          |      |           | 40    | 0.65                                      | 0.51                                       |
| LCM                      |          |       |                |          |          |      |           |       |                                           |                                            |
| CALCIUM CARBONATE - FINE | 25 kg    | 120   |                |          |          |      |           | 120   | 0.19                                      | 0.02                                       |
| CALCIUM CARBONATE - MED  | 25 kg    | 220   |                |          |          |      |           | 220   | 0.48                                      | 0.07                                       |
| KWIKSEAL - MEDIUM        | 50 lb    | 39    |                |          |          |      |           | 39    | 0.34                                      | 0.06                                       |
| MIL-PLUG FINE            | 50 lb    | 84    |                |          |          |      |           | 84    |                                           |                                            |
| MIL-SEAL MEDIUM          | 50 lb    | 90    |                |          |          |      |           | 90    |                                           |                                            |
| SOLUFLAKE F              | 50 lb    | 158   |                |          |          |      |           | 158   |                                           |                                            |
| SOLUFLAKE M              | 50 lb    | 80    |                |          |          |      |           | 80    |                                           |                                            |

|                              |                  |           |                 |               |            |                 |                 |        |
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